

U.S. SMID-Cap Software

Palo Alto Networks Inc

Rating
Outperform

Price Target

PANW

253.00 USD

2 September 2026
Estimate Change

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Palo Alto (PANW) FQ4'26: organic NGS ARR acceleration

Palo Alto's FQ4'26 delivered its second strong midpoint revenue beat in a row, at +\$60MM vs. guidance (the best organic \$ beat, and 2nd best % beat since COVID, behind only its inorganic enhanced FQ3'26). This was joined by an also strong 2% (midpoint) beat vs. ARR (impressively they added nearly \$1B QoQ), which is a strong signal looking towards FQ1 revenue results — perhaps not surprisingly the initial guidance is nearly +\$100MM vs. sell side consensus, and FY is +\$300MM sell side consensus.

The big news is organic NGS ARR acceleration (Exhibit 5) — we impute ~1% point improvement QoQ ex-acquisitions. The source of the upside appears to be somewhat broad based, as they demonstrated FQ4 strength in software firewalls (+29% YoY ARR growth), Prisma AIRS (reached ~\$120MM ARR), XSIAM adding +\$100MM ARR QoQ (reaching \$700MM), and talked up \$450MM in SASE competitive displacements. The cherry on top: not included in this organic acceleration is the accelerating growth in their recent acquisitions, with Chronosphere adding ~200MM ARR QoQ (reaching \$500MM+ and guided to add nearly another +\$100MM in FQ1'27), and CyberArk's ARR adding \$100MM + QoQ and with growth at 27% YoY each of the last two quarters, up from ~20% YoY in Q2 at the point of their acquisition. Other big news: acquisition of Console. This gives them a broader toehold in AI-Native operations and AI Agents. Originally founded to be an IT Operations and ITSM platform, it appears Palo Alto sees a broad Agentic Cyber Operations opportunity. The deal brings talent and know-how to their Cortex product organization.

Investment Implications

We aren't certain the ARR acceleration will be long-lived (possible, but they'd need to show sustained momentum broadly), but we expect organic growth can remain elevated in the 27-28% range for much of FY27 before starting to decelerate on tougher comps towards mid-to-low 20% in FY28. Using our unchanged 50/50 ~14x Price / NTM Sales and DCF (10% WACC, 3% terminal growth), we maintain \$253 PT and OP rating.

Table with 2 columns: Metric and Value. Metrics include Close Date, PANW Close Price (USD), Price Target (USD), Upside/(Downside), 52-Week Range, SPX, FYE, Div Yield, Market Cap (USD) (M), EV (USD) (M), and Performance (YTD, 1M, 6M, 12M).

Price Performance, 1YR

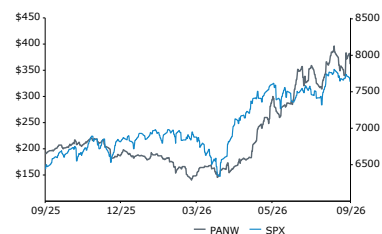


Table with 4 columns: Metric, F26A, F27E, F28E. Rows include Adjusted EPS, Financials (Revenues, Cost of Goods Sold, Operating Earnings, FCF), and Valuation Metrics (Adjusted P/E, EV/Sales, EV/FCF, EV/EBITDA).

Source: Bloomberg, Bernstein estimates and analysis.

DETAILS

CALLBACK NOTES WITH THE CEO AND CFO

Management highlighted XSIAM as a long-term strategic control point within cybersecurity and believes the platform creates a significant future cross-sell opportunity. The company noted that SIEM replacement cycles remain active, with Palo Alto now routinely competing against Microsoft, Google, and CrowdStrike in next-generation SIEM deployments. Deployment timelines have improved materially from roughly 180-200 days to around 100 days, while management believes ownership of the SIEM layer positions Palo Alto to expand into adjacent data, automation, and AI-driven security workflows over time.

The Console acquisition ([link](#)) is intended to extend Palo Alto's capabilities beyond security operations and into broader IT operations workflows. Management sees significant overlap between security and IT operational data, creating an opportunity to consolidate workflows onto a shared data foundation. The longer-term vision is to apply Console's AI-driven automation, playbook generation, and agentic capabilities on top of XSIAM data, enabling both security and IT use cases from a common platform. The company noted that every cybersecurity vendor must simultaneously agentify existing products, build AI-native security capabilities, and integrate prior acquisitions. Palo Alto expects to continue pursuing small tuck-in acquisitions, but for larger transactions management suggested that must have a clear strategic inflection point rather than simply adding scale.

Management emphasized that AI adoption is driving substantially higher network traffic, which could create pricing and monetization opportunities across the portfolio. The company cited a roughly 9x increase in SASE-related traffic tied to AI agents and automated workloads. As traffic patterns become increasingly uneven across users, Palo Alto is evaluating consumption-based pricing models that charge based on aggregate enterprise traffic rather than traditional per-user metrics.

Management outlined a rapid and successful CyberArk integration process, which they view as a key differentiator for future M&A execution. By year-end, Palo Alto expects to have integrated virtually all major CyberArk systems despite significant leadership turnover following the acquisition. Management highlighted the importance of preserving CyberArk's sales momentum and customer trust, noting that maintaining growth during integration is often more difficult than completing the technical integration itself.

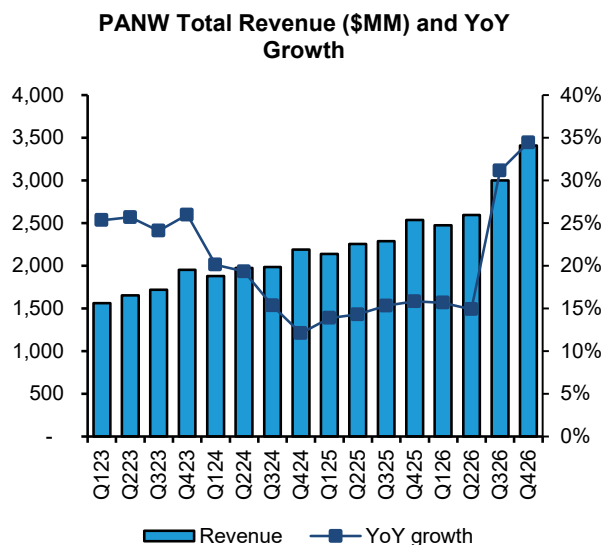
Management acknowledged near-term gross margin pressure from higher cloud hosting expenses and component costs but remains confident in operating margin expansion. As a growing portion of revenue is delivered through cloud and SaaS models, hosting costs are increasing, while hardware component inflation remains an industry-wide headwind. However, management believes these pressures are more than offset by operating leverage, go-to-market efficiencies, and CyberArk synergy realization, with integration progress currently ahead of plan.

Management highlighted continued strength in the firewall business, while noting that its outlook does not assume growth meaningfully above the segment's historical cadence. On the hardware side, management reiterated its long-standing expectation for low single-digit to mid single-digit growth, with recent results benefiting from stronger demand and pricing. The company noted that while the revenue mix had temporarily tilted more toward hardware in recent quarters, software growth has begun to reaccelerate, bringing the hardware-software mix back closer to historical levels. To offset the increases in component costs, Palo Alto implemented a 10% hardware price increase in April, though management estimates realized pricing was likely less than 5% after normal sales adjustments and discounting. A further 10-15% price increase is planned for October. Importantly, management emphasized that Palo Alto competes as a premium security platform rather than on hardware pricing alone, viewing its software stack as the primary differentiator. As a result, the company does not intend to aggressively maximize hardware pricing and expects future normalization to occur through discounting levels rather than outright price reductions.

The company noted that the large LLM customer (which we understand to be OpenAI) migration to Chronosphere generated more than \$100M of benefit in Q4 NGS ARR. Management reiterated that this contribution will step down to less than \$100M in Q1, consistent with prior expectations for a more moderate contribution in subsequent quarters. For the migration specifics, the company disclosed that Chronosphere displaced the incumbent observability vendor across many of the LLM lab's most critical metrics workloads while also capturing a meaningful portion of underlying infrastructure monitoring spend. Management also pointed to ongoing customer wins outside of this large account, including landing Fireworks AI as a new customer in Q4 with ~\$20M ACV.

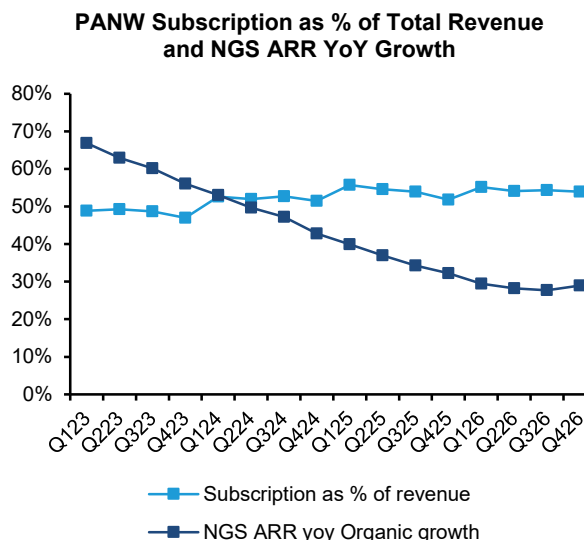
Additional modeling details: Management indicated CyberArk delivered approximately 27% ACV growth, which is close to its ARR growth rate and is the best indicator of the underlying business trajectory. SASE bookings growth remained approximately 40% year over year, supporting confidence in continued ARR growth and the path toward a multi-billion-dollar ARR business. NGS ARR this quarter includes over \$500M ARR from Chronosphere and a little over \$1.4B ARR from CyberArk. Seasonality to watch for in the new revenue segmentation: Network Security revenue is seasonally lightest in FQ1, expected to decline by high-single digit sequentially in FY27Q1; Cortex is expected to grow low-to-mid single digit sequentially in Q1; and Idira is expected to grow mid-single-digit sequentially for Q1.

EXHIBIT 1: Revenue growth increased driven by strong CYBR contribution.



Source: Company reports, Bernstein analysis

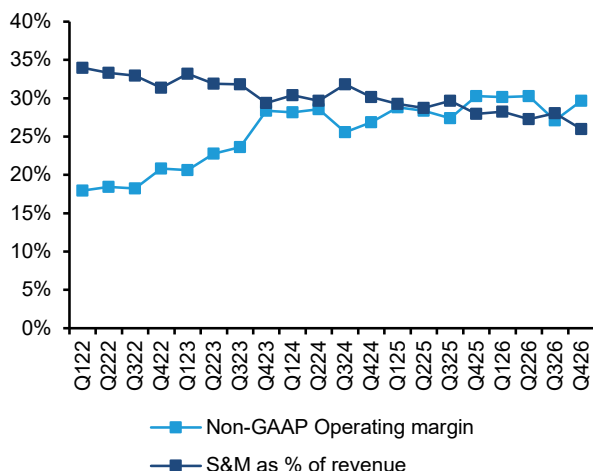
EXHIBIT 2: NGS ARR growth has continued to drive subscription growth over time and has started to show signs of organic reacceleration. Subscription revenue now constitutes 54% of PANW's overall revenue



Source: Company reports, Bernstein analysis

EXHIBIT 3: Leverage in S&M has been the biggest driver of OpM improvement over time and in recent quarters.

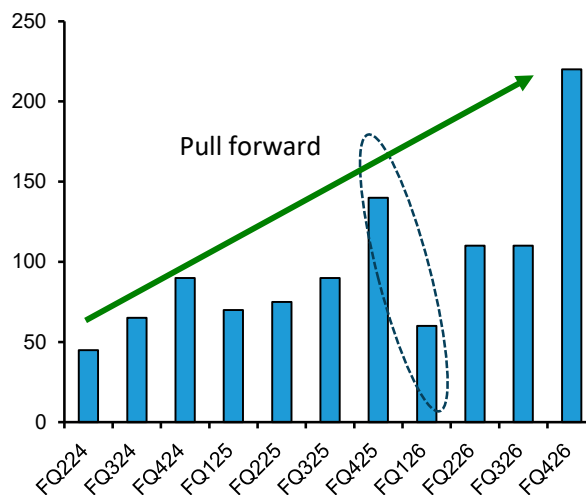
PANW Operating Margin and S&M as % of Revenue (Non-GAAP)



Source: Company reports, Bernstein analysis

EXHIBIT 4: Palo Alto continues to have strong QoQ net new platformization deals from prior year, with additional benefit of ~40 new deals this quarter from Identity & Observability platformization.

Net new platformization QoQ

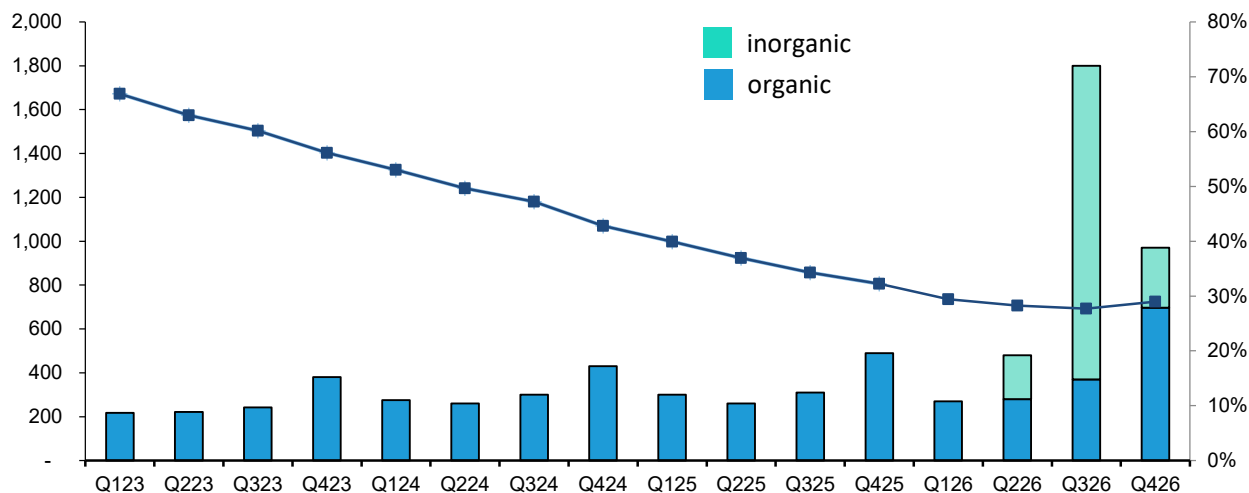


Q1'25 number adjusted for QRadar impact (1/3 of additions in the quarter)

Source: Company reports, Bernstein analysis

EXHIBIT 5: PANW organic growth (%) has stabilized and started to show signs of reacceleration this quarter, with additional new adds from inorganic ARR.

PANW Organic NGS ARR Y/Y Growth and Q/Q New Adds (in \$MM)



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: Palo Alto results vs. consensus vs. Bernstein estimates

	Reported (\$MM)			FQ4 2026 Estimates			
	Q425	Q426	yoy	Cons	vs. Actual	Bernstein	vs. Actual
[Non-GAAP]							
Revenue	2,536	3,410	34%	3,352	-2%	3,363	-1%
COGS	614	858	40%	801	-7%	785	-8%
Gross Profit	1,922	2,552	33%	2,551	0%	2,578	1%
R&D	359	550	53%	520	-6%	466	-15%
S&M	709	886	25%	933	5%	953	8%
G&A	87	105	21%	116	11%	107	2%
Operating Profit	768	1,011	32%	982	-3%	1,052	4%
Net Loss	673	853	27%	814	-5%	893	5%
EPS (diluted)	0.95	1.03	8%	0.98	-5%	1.10	7%
[GAAP]							
Revenue	2,536	3,410	34%	3,352	-2%	3,363	-1%
COGS	679	1,106	63%	956	16%	1,084	-2%
Gross Profit	1,857	2,304	24%	2,396	4%	2,280	-1%
R&D	504	779	55%	720	-8%	605	-22%
S&M	829	1,127	36%	1,147	2%	1,174	4%
G&A	27	226	728%	231	2%	139	
Operating Profit	497	172	-65%	280	63%	361	110%
Other Income (expense)	95	(441)	-566%	71	16%	27	6%
EBT	592	(269)	-145%	351	130%	388	144%
Tax provisions	338	13	-96%	(105)	-1009%	(52)	-602%
Net Income	254	(282)	-211%	245	87%	440	156%
EPS	0.36	(0.35)	-196%	0.36	105%	0.55	158%
	Reported			FQ4 2026 Estimates			
	Q425	Q426	yoy	Cons	vs. Actual	Bernstein	vs. Actual
Next-gen Security ARR	5,580	9,100	63%	8,864	-3%	9,049	-1%
Billings	3,711	4,559	23%	4,582	1%	4,825	6%
Free cash flow	935	1,254	34%	1,274	2%	1,429	14%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 7: PANW Financial Summary

Palo Alto Networks In \$, MM	FY2023	FY2024	FY2025	FY2026	Q127E	Q227E	Q327E	Q427E	FY2027E	FY2028E
Income Statement										
Total Revenue	6,892.7	8,027.5	9,221.5	11,480.0	3,367.1	3,562.6	3,758.2	3,896.2	14,584.2	17,499.6
Cost of Revenue (Non-GAAP)	1,662.4	1,798.3	2,176.2	2,775.0	865.6	909.6	950.4	970.3	3,696.0	4,303.6
Gross Profit (Non-GAAP)	5,230.3	6,229.2	7,045.3	8,705.0	2,501.6	2,653.0	2,807.8	2,925.9	10,888.2	13,196.0
S&M (Non-GAAP)	2,168.0	2,449.1	2,663.2	3,135.0	889.2	948.8	972.2	930.4	3,740.6	4,122.2
R&D (Non-GAAP)	1,097.4	1,258.2	1,406.1	1,822.0	496.8	528.5	536.0	556.4	2,117.7	2,506.3
G&A (Non-GAAP)	305.0	332.2	324.1	392.0	109.0	112.6	113.5	113.3	448.3	509.8
Total Operating Expenses (Non-GAAP)	3,570.4	4,039.5	4,393.4	5,349.0	1,495.0	1,589.9	1,621.6	1,600.1	6,306.7	7,138.2
Operating Income (Non-GAAP)	1,659.9	2,189.7	2,651.9	3,356.0	1,006.6	1,063.0	1,186.2	1,325.8	4,581.6	6,057.7
Margin %	24%	27%	29%	29%	30%	30%	32%	34%	31%	35%
Other income (loss), net	186.3	307.9	353.9	403.0	80.0	152.0	65.0	83.0	380.0	380.0
[Non-GAAP] Earnings before taxes	1,846.2	2,497.6	3,005.8	3,759.0	1,086.6	1,215.0	1,251.2	1,408.8	4,961.6	6,437.7
Provision for income taxes	406.2	549.5	661.3	828.0	239.4	267.7	275.6	310.3	1,093.0	1,418.2
Net income (loss)	1,440.0	1,948.1	2,344.5	2,931.0	847.2	947.4	975.5	1,098.4	3,868.6	5,019.6
Net income attributable to common shareholders	1,440.0	1,948.1	2,344.5	2,931.0	847.2	947.4	975.5	1,098.4	3,868.6	5,019.6
Earnings (loss) per share - Basic	2.37	3.05	3.54	3.91	1.01	1.12	1.15	1.29	4.57	5.81
Earnings (loss) per share - Diluted	2.21	2.83	3.34	3.84	1.01	1.12	1.15	1.29	4.57	5.81
Balance Sheet										
Cash and cash equivalents	1,135.3	1,535.2	2,268.6	2,514.0	4,090.7	7,912.7	8,274.7	9,021.2	9,021.2	17,112.2
Short-term investments	1,254.7	1,043.6	634.6	557.0	1,004.1	331.8	655.7	488.9	488.9	429.1
Receivables	2,463.2	2,618.6	2,965.0	3,629.0	1,782.9	2,659.8	3,287.5	4,131.6	4,131.6	4,824.2
Other current assets	1,194.8	1,652.3	1,654.6	1,943.0	1,943.0	2,049.1	1,922.8	2,101.0	2,101.0	2,275.3
Total current assets	6,048.0	6,849.7	7,522.8	8,643.0	8,820.8	12,953.4	14,140.6	15,742.7	15,742.7	24,640.8
Total PPE	354.5	361.1	387.3	523.0	558.7	595.8	634.1	671.8	671.8	831.1
Other assets	8,098.6	12,780.1	15,666.1	39,294.0	39,384.0	36,921.7	37,066.9	37,591.1	37,591.1	36,182.1
Total assets	14,501.1	19,990.9	23,576.2	48,460.0	48,763.5	50,470.9	51,841.6	54,005.6	54,005.6	61,654.0
Accounts payable	132.3	116.3	232.2	290.0	337.4	385.0	383.6	328.0	328.0	385.1
Other current liabilities	7,605.2	7,566.4	7,755.8	9,633.0	9,187.1	9,793.4	9,912.8	10,579.7	10,579.7	11,760.0
Total current liabilities	7,737.5	7,682.7	7,988.0	9,923.0	9,524.5	10,178.4	10,296.4	10,907.7	10,907.7	12,145.1
Deferred revenue, non-current	4,621.8	5,939.4	6,449.7	7,009.0	6,876.9	7,027.0	7,236.0	7,587.9	7,587.9	8,325.0
Other liabilities, non-current	393.4	1,199.1	1,314.1	4,036.0	4,036.0	4,036.0	4,036.0	4,036.0	4,036.0	4,036.0
Total non-current liabilities	5,015.2	7,138.5	7,763.8	11,045.0	10,912.9	11,063.0	11,272.0	11,623.9	11,623.9	12,361.0
Total Liabilities	12,752.7	14,821.2	15,751.8	20,968.0	20,437.4	21,241.5	21,568.3	22,531.6	22,531.6	24,506.1
Temporary equity	-	-	-	-	-	-	-	-	-	-
Total Equity	1,748.4	5,169.7	7,824.4	27,492.0	28,326.1	29,229.4	30,273.3	31,474.0	31,474.0	37,147.9
Total Liabilities and Equity	14,501.1	19,990.9	23,576.2	48,460.0	48,763.5	50,470.9	51,841.6	54,005.6	54,005.6	61,654.0
Cash Flow										
Cash used for operating activities	2,777.5	3,257.6	3,716.0	4,553.0	2,497.6	978.1	1,252.1	1,528.8	6,256.6	8,019.0
Cash used for investing activities	(2,033.8)	(1,509.9)	(2,204.7)	(3,104.0)	(920.9)	2,843.9	(890.1)	(782.3)	250.6	72.0
Cash used for financing activities	(1,726.3)	(1,343.1)	(778.9)	(1,202.0)	-	-	-	-	-	-
Effect in exchange rate	-	-	(3)	-	-	-	-	-	-	-
Increase (decrease) in cash, cash equivalents, and restricted cash	(982.6)	404.6	732.4	244.0	1,576.7	3,822.0	362.0	746.5	6,507.2	8,091.0
cash, cash equivalents and restricted cash at beginning of period	2,124.8	1,142.2	1,546.8	2,279.2	2,523.2	4,099.9	7,921.9	8,283.9	2,523.2	9,030.4
Cash, cash equivalents and restricted cash at end of period	1,142.2	1,546.8	2,279.2	2,523.2	4,099.9	7,921.9	8,283.9	9,030.4	9,030.4	17,121.4
Cash flow from operations	2,777.5	3,257.6	3,716.0	4,553.0	2,497.6	978.1	1,252.1	1,528.8	6,256.6	8,019.0
FCF	2,631.2	3,100.8	3,469.8	4,113.0	2,394.9	869.5	1,137.5	1,410.0	5,811.9	7,485.4

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	1 Sep 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2026A	2027E	2028E	2026A	2027E	2028E
PANW (Palo Alto Networks)	O	USD	362.09	253.00	71.9%	USD	3.84	4.57	5.81	94.2	79.2	62.3
OLD								4.87	6.18			
SPX			7,631.47									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Palo Alto Networks Inc**

Our target price \$253 is a 50/50 average of DCF (with 10% WACC and 3% terminal growth) and P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple of 14X is selected in the >10% OpM Cloud SaaS cohort from our "Rule-of-40" based valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

RISKS**Palo Alto Networks Inc**

Downside risks beyond the macroeconomic risks include: high customer penetration, exposure to churn on their hardware firewalls, trade financing to keep billings and cash flow high, competitive overlap on platform strategy with both best-of-breed and hyperscaler consolidators, premium price, "good enough" product that could face technical risk with customers preferring "best-of-breed", high valuation, slowing billings growth in the near term.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

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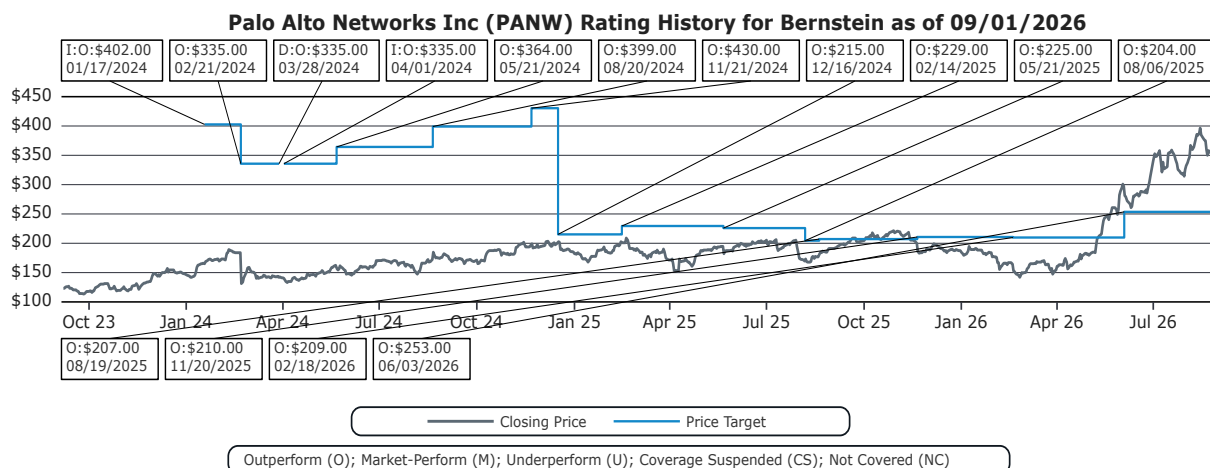
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Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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